

spirit of india special ■



ability to spread their presence, it has been great to see Indian companies place the national tricolour across the globe. Wipro's listing at the New York Stock Exchange (NYSE), for which Morgan Stanley was the investment bank, had more to do with prestige, and it was a fantastic experience. Azim Premji had a very clear view as well, that the NYSE brought a certain stature. The feeling is reinforced as Indian companies have gained the confidence to make overseas acquisitions of companies much larger in size, emerging among the top players globally in their industries. Look at the global acquisitions by Tatas: Tetley for \$434 million and Corus for \$12 billion. Kumar Mangalam Birla bought Novelis for \$5,982 million. HSBC was the adviser and also a lender in the Corus-Tata Steel deal. We handle about 5 per cent of India's imports and exports.

You don't see a Corus happening every day, but the trend continues. Acquisitions are happening across the spectrum, right down to smaller firms wishing to expand their marketplace and enhance their production capacities. The opportunities here of helping companies raise capital through mergers and acquisitions are also getting bigger. There have been foreign direct investments worth \$16.7 billion from January to July 2009. Indian businesses are still buying overseas firms with 41 deals worth \$14 billion struck from January to May 2009. Even the inbound Merger and Acquisition (M&A) activity boasts of 136 deals in the first half of 2009 valued at \$5.4 billion.

We as a bank will focus on large and mid-market Indian corporates undertaking cross-border acquisitions or inbound M&As. That's where the next wave of acquisitions will come from—led by mid-size companies, like in auto ancillary, and even big ones in oil and gas sectors, manufacturing and energy. The other thing is that though with steel, as with other commodities, soaring demand from fast-growing economies is fuelling a wave of mega deals, India



INDIAN FIRMS
ARE GOING
abroad not
because they are
being besieged
but because they
genuinely aspire
to acquire a
global scale.

ANAND MAHINDRA,
VICE-CHAIRMAN
AND MD, M&M

Taking WING

2000 Tatas buy Tetley Tea for \$434 mn.

2003 Kumar Mangalam Birla buys mines in Australia.



2004 Tata Motors buys Daewoo's truck factories (\$102 mn).

2005 VSNL acquires Teleglobe of Canada for \$239 mn.

2006 Videocon acquires Daewoo electronics for \$729 mn. Dr Reddy's Labs acquires Betapharm for \$597 mn.

2007 Tatas acquire Corus (\$12 bn) and Kumar Mangalam Birla buys Novelis (\$5,982 mn).

2008 ONGC Videsh buys Britain's Imperial Energy Plc (\$2.8 bn) and TCS buys Citigroup Global Services (\$505 mn).

2009 Suzlon Energy acquires Hansen group for \$565 mn.